

Question 8 · Unit 1 · 8 Marks

Discuss the significance of HRD for achieving organisational effectiveness and long-term employee development.

Introduction

Organisational effectiveness means the organisation achieves its goals, satisfies stakeholders, adapts to the environment and remains healthy inside. Long-term employee development means people keep growing in capability and career over years, not only in one induction week. HRD is significant because these two outcomes are joined: an organisation cannot stay effective for long with undeveloped people, and people cannot develop for long in an ineffective, stagnant organisation.

Detailed points

- 1. Competence as the engine of effectiveness.** Goals (quality, cost, service) are achieved through what people can do. HRD continuously upgrades competence. A hospital, a college or a factory is effective only if staff can perform current technology and standards. Effectiveness is therefore a people outcome, not only a finance outcome.
- 2. Enabling culture and self-renewal.** Notes say even organisations that have reached a growth limit must adapt. HRD builds self-renewing mechanisms — learning from mistakes, scanning the environment, updating skills. That is organisational health, a dimension of effectiveness.
- 3. Alignment of individual effort with organisational goals.** Long-term development is wasted if it is random. HRD links individual development plans to strategy so that when the firm needs digital skills or customer focus, people are being developed in that direction. Alignment makes both the person and the firm effective.
- 4. Leadership pipeline and succession.** Effectiveness tomorrow depends on who leads then. Career planning, potential appraisal and mentoring create a pipeline. Without HRD, retirement or resignation of a few key people collapses effectiveness. Long-term employee development is the method; organisational continuity is the result.
- 5. Employee growth beyond the present job.** Long-term development includes general capabilities — judgement, human relations, conceptual skill — not only today's task. This prepares people for higher roles and also makes them more employable. Employees who grow stay committed; that commitment feeds effectiveness.
- 6. Retention, morale and reduced human wastage.** Turnover, inner resignation and under-use of talent are enemies of effectiveness. HRD significance lies in offering a future, fairness and learning, which retain people. Replacing staff is costly and destroys team memory.
- 7. Humanistic plus economic value.** HRD treats people as assets with unlimited potential. This is ethically significant (people first, equity, dignity) and economically significant (human capital). Examiners like this dual justification.
- 8. Without HRD, both suffer.** If HRD is treated as a cost to cut, training stops, climate becomes fearful, high performers leave, and the organisation may look profitable for a short time but loses effectiveness. Significance is therefore preventive as well as positive.

Conclusion. Write that HRD is significant because organisational effectiveness is produced by capable, motivated, collaborating people, and long-term employee development is how those people are created and retained. The two aims are one process.